Using Iceberg Charts

Level: Intermediate

Prerequisites: none

Intro

A human mind can typically hold only about 5 to 7 different chunks of information at the same time. And even that costs effort. It's easy to demonstrate that by trying to remember a random 7 digit number.

The intention of our reversal levels tables has always been to bring the number of different factors we consider down to an optimal minimum. We have a reversal level and the MoM indicator, and this gives us a weekly trend and a daily mode. It offers a framework that does not exceed the number of different factors most people can normally consider and process.

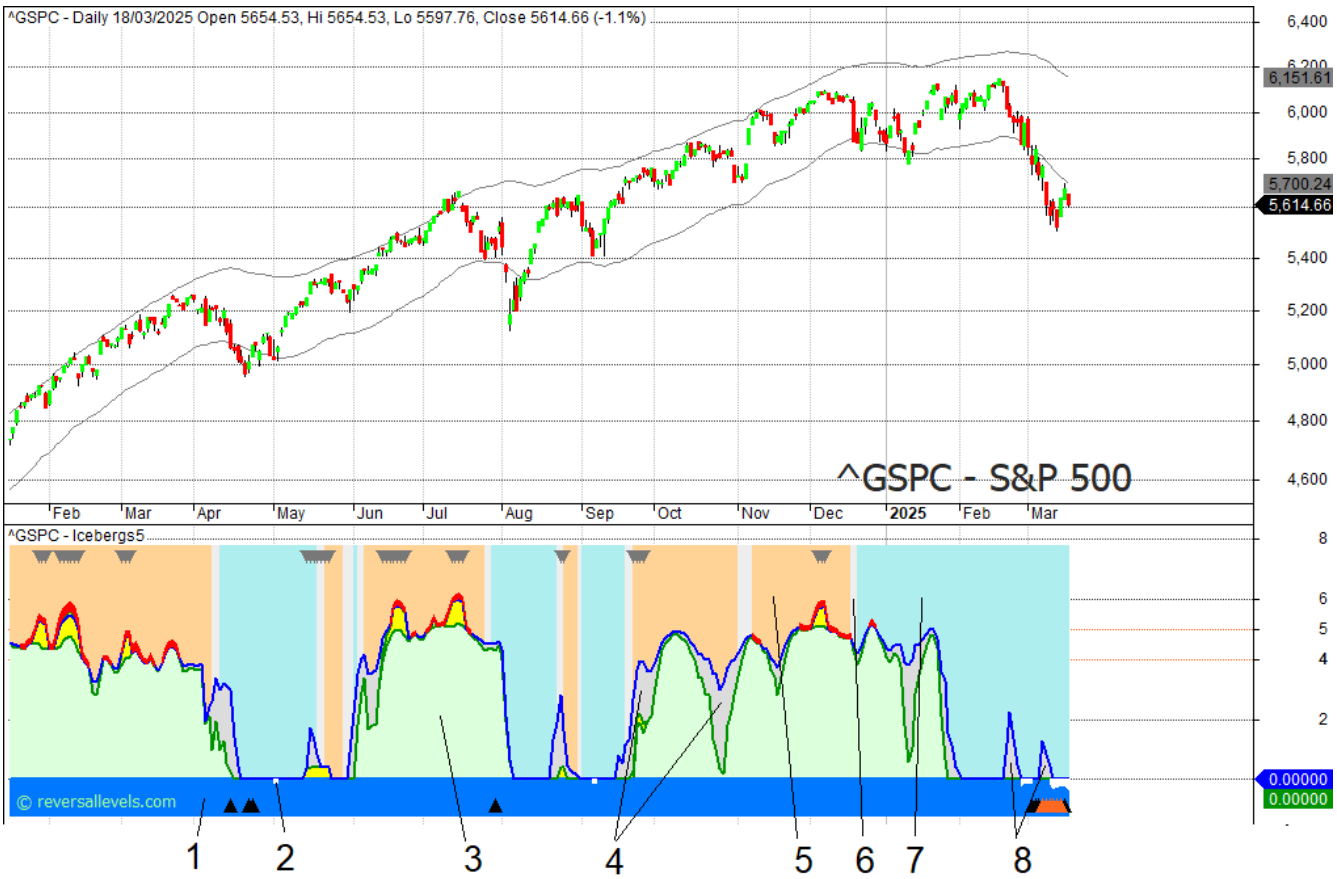
But not everybody is a big fan of numbers only, and a visual chart has a certain appeal too. A picture says more than a thousand words. Numbers and calculation logic on the one hand, and visual images on the other hand, are processed in different parts of the brain. That means we could make better use of our bio-computer if we combine both approaches.

10 years ago I started experimenting with different visual representations and that led to the first version of iceberg charts. The starting point was that our visual system did not evolve to understand stock charts and sinus curves or excel sheets. Thousands of years as hunter-gatherers has trained us to understand the land forms and the waters around us, including the animals, weather and seasons that keep changing within that picture. That became the basis for iceberg charts. Once you get used to this format you will see the given stock or index in a new intuitive way.

After lots of testing and tweaking they are now in version 5, and it is time to introduce them as a complement to the reversal levels tables you already know.

How to use the iceberg charts

The iceberg charts are displayed in a landscape type image. So let's just start by explaining the different elements that can appear. Here is a current SPX chart:



In the top pane we have a classic candlestick chart with an Envelope channel around the price action. More on that later.

In the bottom pane we see the iceberg “landscape”, typically consisting of:

Water: #1 - sea water (blue) at the bottom, with or without #2 – floating sea ice (white).

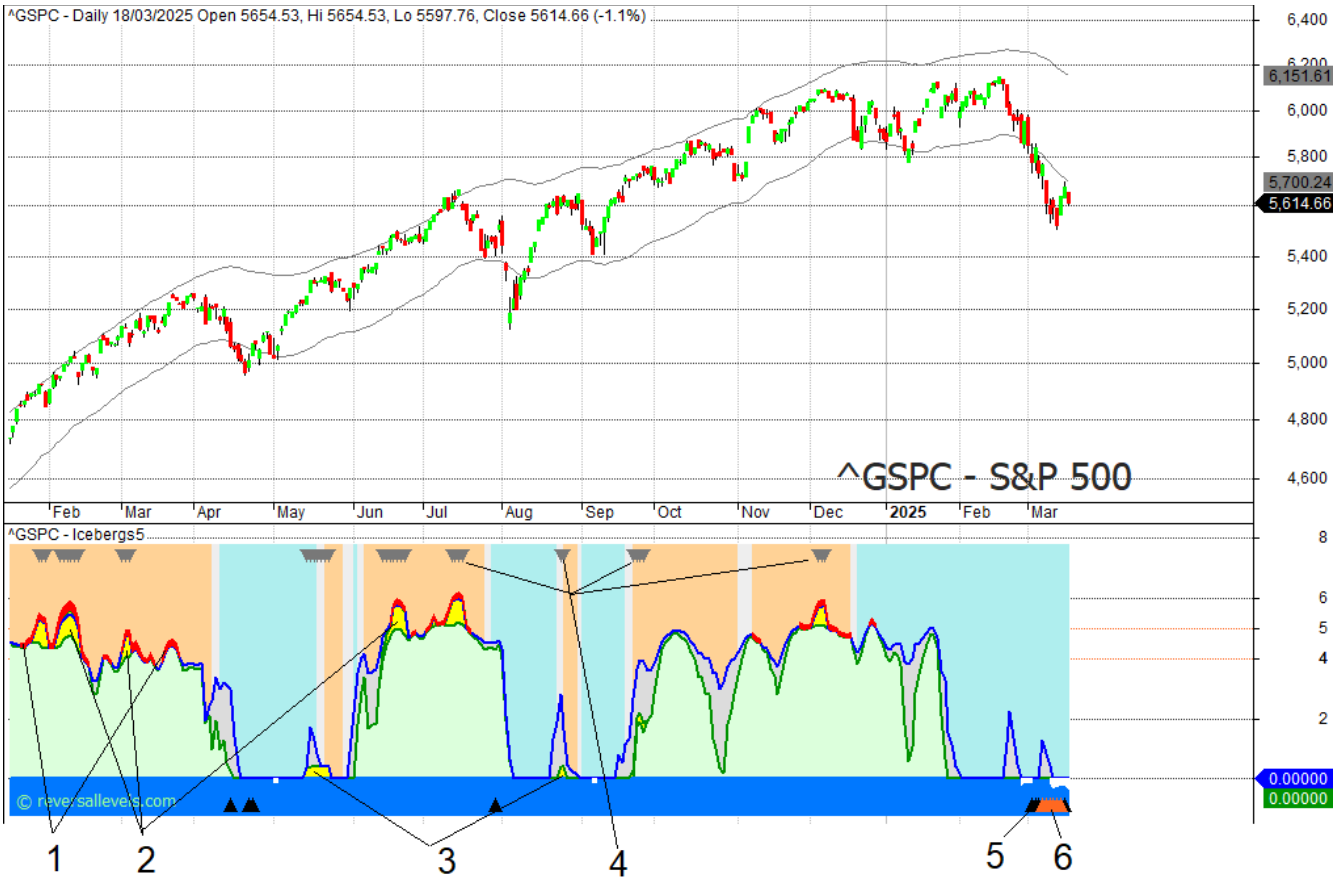
Mountain/Islands: #3 - green mountains, with or without #4 - ice (gray) on top.

Background sky: can be #5 - light orange (warm) or #7 – blue (cold), and when it is at the verge of changing it can be #6 - light gray for a few bars, indicating a possible transition to a different market “climate”. (This light gray transition color is a new addition in iceberg version 5)

Icebergs: appear in open water and are usually small gray islands without any green mountain inside (see #8 in this chart). Sometimes there is a little bit of green mountain inside the ice, but that’s practically the same for our purpose of reading the market.

This are the fixed elements and with each new bar that gets added to the chart our landscape evolves and climate may change. There is no need to worry about all the number crunching that goes into building up this chart. We can just let the picture work and it gives us a certain

visual understanding of where we are and what came before. There are some extra elements that can appear inside this landscape. Here we have marked them:



Lava (#1) is red color and always appears on top of green mountains.

Gold (#2) is bright yellow and usually also appears on top of green mountains. Lava and gold often appear together, but not always.

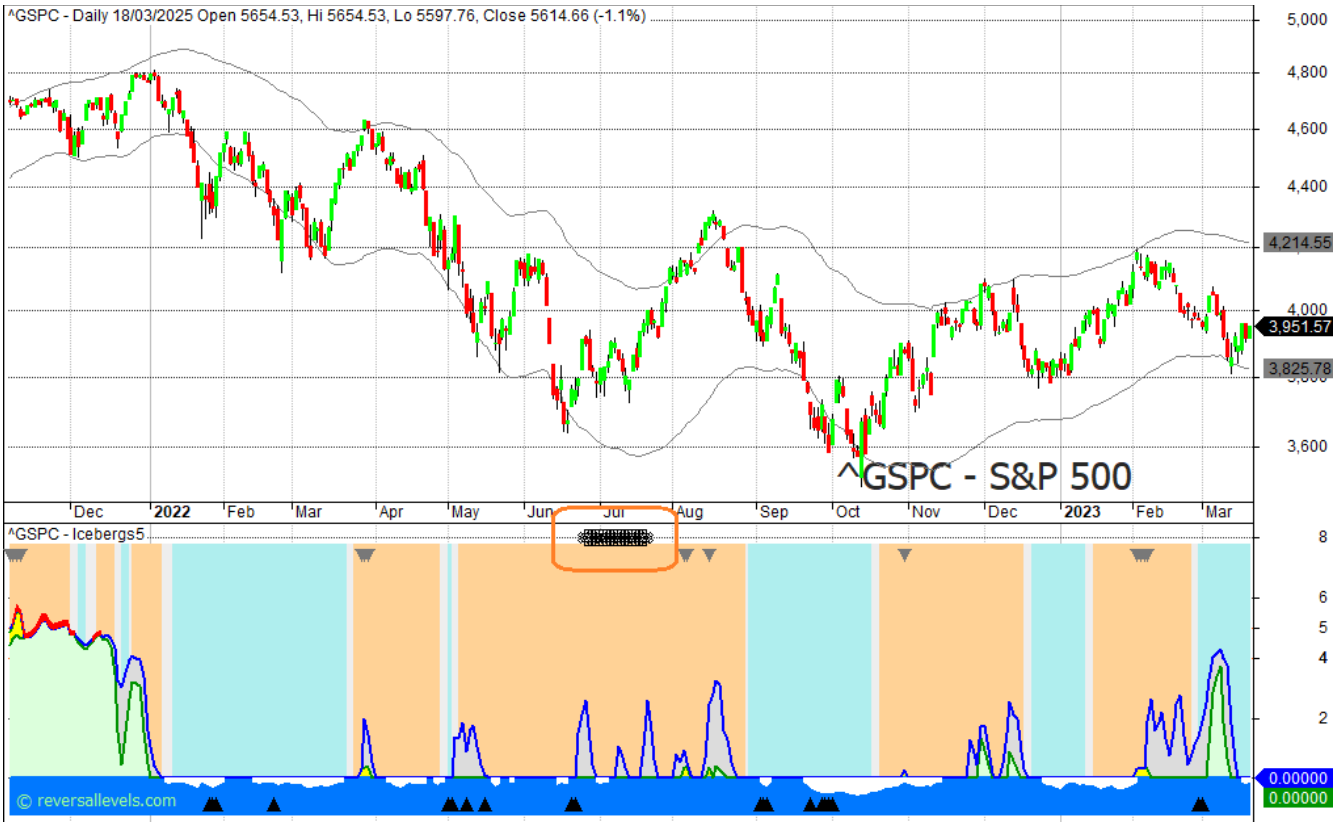
But gold can also appear on the beach (#3), in open sea water, or inside an iceberg.

Vultures (#4) are the downward pointing gray triangles up in the sky.

Fish (#5) appears as black upward pointing triangles in the sea.

Salmon (#6) is the same as fish, but comes as a pink triangle and is more rare than the ordinary fish. With fish (and salmon) it's easy to think about "bottom fishing" and that's exactly what those little triangles are about. More on that later.

There is one more new element that is introduced with iceberg v5. We have to go back the 2022 bear market to find an example of it in the SPX chart:



There, circled in orange, you see the dark clouds that appeared in June-July 2022. As you may guess intuitively, this tends to appear when a stock or index has gone “dead” and a depressed mood is hanging like dark clouds above the market. We will explain this new feature further down this article.

Just by watching this kind of charts you will automatically learn to pick up the meaning over time. Our eyes get trained on it. Here is the quick overview.

On the most basic level, green mountain (>4 is better) and warm background is generally bullish. Open water and cold blue background is bearish.

Lava on top of the mountains is very bullish, but also indicates a risk of overheating. Most (but not all) market tops come with lava, and usually also with gold on the mountain. Vultures (often coinciding with gold) are an indication of a possible peak (can be a short or long term peak), and that’s where some selling can be done (partial or full profits, depending on your trading style).

Sea ice is the opposite of lava, and indicates very bearish conditions. More ice is more oversold. So, most short and longer term bottoms happen when there sea ice in the chart. Fish = bottom fishing opportunities (black and pink triangles) will often coincide with sea ice

and signal buying opportunities for a short term rebound or longer term position. Please don't trade this blindly. Even the worst of stocks will show some "fish" on the way down. Sometimes this will only give a brief rebound or a weak sideways before the stock falls further.

It is for that reason that we include the Envelope in the main price chart. Moves above and below this Envelope give us important clues.

To bring this together I just picked the current chart of Alcoa AA and we can point out some typical situation that you will see over and over:

We see two good rallies and two declines in this chart, so it's a very good study case.

There was a low in Feb 2024 and a rally started. Note that there was sea ice at this point but no black fish. By early April the stock already climbed above the Envelope, green mountain was high with lava and gold appearing for the first time. That would have been a nice quick profit to take, but it was not the peak of the move. By the end of May the stock went even higher and that would have been the optimal selling point.

Two important observations there: the final move in the last days of May only just reached the top of the Envelope, but could not exceed it anymore. And lava + gold briefly came back, but they were at a lower level compared to April. The vultures were back too. This are the subtle signs of a weakening rally that can be spotted in iceberg charts. Of course, things will not be that clear cut 100% of the time.

A first dip in June then took AA below the Envelope, and we see two black fishes appeared. There was a brief rebound rally, but it came nowhere near the top of the Envelope. This is something you will see fairly often. If you buy “fish” after a quick first dip, then you may want to take your profit quick. Another leg down may start, as happened here.

In July the stock was crashing and fell far below the Envelope. That is always a reason for caution. You can see there was very thick sea ice and fish day after day, but when the candles are completely outside the Envelope then a final washout drop remains possible, as happened here in early August. The solution for this kind of conditions is to spread your buying into smaller portions over a number of days. That gives an acceptable average entry price and then you can make a profit as soon as the rebound rally comes. Stocks will normally move back inside the Envelope with the next rebound, and that can be used. This stock rallied more than 20%, so all that “fish” still made a good profit.

A next dip then took AA back to the bottom of the Envelope, a nice touch and two black fish again in early September (marked with big gray arrow). Note that the sea ice is already smaller at this point. So, this was a somewhat less risky entry point if you are into bottom fishing. Less risky, because risk free trading does not exist.

The stock surged well above the Envelope again, gold and lava appeared. But with candles above the Envelope you know there is good chance the rally is not over. That’s when some experience comes in, and you just sit tight until warning signs appear. To protect your profit during such rallies it is wise to just use the reversal level as your stop loss. A good rally can always get aborted by some sudden unexpected news. If there is a reversal levels Sell signal you can decide to sell and take your profit, or even get out at break even.

In this case there was again a final push higher in late November and it failed to reach the top of the Envelope. One vulture and a small piece of gold on the mountain marked that top.

The stock then dropped, the weather turned cold, the mountain disappeared. It went well below the Envelope, a warning sign that more downside price action could be see. So, those first fished that appeared in December were a dangerous catch.

A small island appeared in February. Small islands, just like icebergs, tend to indicate failed rally attempts. That’s why they are dangerous, especially if they appear shortly after a top in the given stock or index. Here the small island appeared after 3 months of decline, not as alarming, but still noteworthy.

Fish appeared again in early March, and now with the stock just touching the bottom of the Envelope again. That was a good entry point, and it did give a nice rebound rally. But, to keep us guessing, a small iceberg appeared right after this fish, and now the low is already being retested. This is how we keep reading the ongoing evolution in the stock. It is more art than science, it takes practice.

Note how the weather is currently warming, with background orange. That's a bit more positive but sometimes it will come too early, or not be strong enough to lift the stock. This can also be like a much warmer week in an ongoing winter.

Important is not to overthink the iceberg charts. They can be used to select buy or sell candidates visually. And then the trading itself is best handled with the know strategies from our reversal levels tables.

To conclude we need to have a good look at the latest addition: dark clouds. Alcoa AA had a classic example of dark clouds in late 2023, so here we go:

You can instantly see the dark clouds here from August until December 2023. So, the first thing to note is that dark clouds are not a short term indication, unlike for example the fish.

Dark clouds most typically appear after a relatively long downtrend in the stock or index. A number of conditions need to be met for dark clouds to appear, but the main one is that the

stock trades in a rather dead fashion for a prolonged period. It may be gradually chopping lower with only weak rebound attempts. Or it may have entered a prolonged sideways after some decline, and traders' interest in the stock becomes very low as a result. A stock can be dead like that for weeks or even months, and that's why there can be dark clouds for weeks or months. So, it is not used as a short term buy indication. But as long as the given company is healthy and not headed for bankruptcy, this type of dark clouds will most often appear near important long term lows. And in this context "near" usually means within a few months of an important low. As such the main use is to spot good candidates for a longer term position, but sometimes a good swing trade can be had too.

Looking at the Alcoa chart above, we see four periods of dark clouds. When dark clouds appear we have a special situation, and we start watching the other elements in the iceberg chart very carefully, with the aim of spotting an optimal entry point. In this example the first period of dark clouds in Aug 2023 came with green mountain (that's possible) and just before a colder period started. Mountain was diminishing, before disappearing in September. When mountain is diminishing it's probably on the early side for a good tradeable low. Dark clouds tell you an important low is in the making, but you don't know when that low will come. Patience is very important under this kind of conditions because dark clouds usually indicate a very slow grind type of market.

The second batch of dark clouds came in September, with plenty sea ice, but no fish appeared, so that one would have been missed easily. In October a third sequence of dark cloud days came and now there was sea ice with fish for a few days. The sea ice was lessening already, a good sign, and gray icy mountain came out of the water. Things were gradually starting to point up a bit more. This proved to be the bottom, but of course that's not so obvious in real time. A fourth and last batch of dark clouds came right after the first rally from the low, when the market chopped sideways again. It's not unusual for such a last series of dark clouds to appear after the low of the move is in. It can be another chance for a late entry.

Again it was important to watch where the price action happened versus the Envelope. With dark clouds we try to enter when the price is very close to the bottom of the Envelope. If prices are in the middle or even near the top of the Envelope, then it's better to stay patient. Such a narrow sideways under dark clouds can be entered on a breakout basis.

Prolonged periods with dark clouds typically end rather suddenly with a sharp move, the stock springing back to life. You see that in December 2023 in this chart. This can be used to pocket a quick profit or a partial profit, because not rarely the stock will make at least one revisit of the base it has made. That's what happened in February 2024, when the bottom of the Envelope was retested, offering a chance to re-enter at a much lower price again. And that was the initial entry point we discussed in our first Alcoa chart.

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This gives a good idea of the most typical situations and evolution seen in iceberg charts, but there are other less common ones. We can't describe all of them and the best way to learn is by watching lots of iceberg charts. Sometimes they will surprise you, because a stock may appear to be going up, but no green mountain appears. That suggests something is not quite right with that market advance. The reverse can happen too. Green mountain and warmer background may appear with the stock apparently doing nothing at first. Careful observation is the only way to learn, as you build up your internal visual library of possible setups and how they evolve.

This will not always work to perfection. But over time you will develop your way of seeing the market, a way that does not exist in any comparable format that I know of.

Some of you may wonder which indicators or algos go into this landscape display. It's quite a number of them and would lead too far to explain it all. But one useful tidbit is this. The "vultures" and "fish" that appear near important peaks and bottoms have a lot in common with the spBuy and pP signals that appear in our reversal levels tables. So, if you see vultures or fish in a stock chart that looks interesting to you, then you can look up that stock ticker in the reversal levels table and take it from there to manage that trade.

Personally I do not watch the iceberg charts every day. Some visual "prospecting" once or twice a week is more than enough, but everybody is different in that regard.

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Feedback and questions are welcome.

PS: most iceberg charts are not attached to our daily emails. The files are too large. You can always pick them up in the shared Google Drive: https://tinyurl.com/IcebergCharts

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